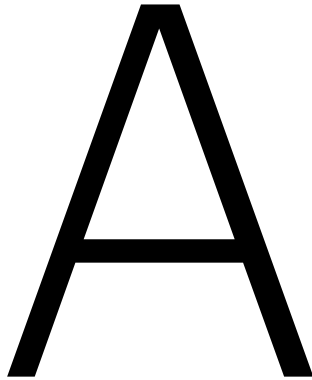




AS WE GET CLOSER to the new year, there is a general belief among investors that various asset classes may face a challenging economic environment, influenced by global recovery efforts, rising inflation, and changing monetary policies.

Most importantly, equities because of the volatility they face, may confront challenges in the coming year. A potential rate cut by the US Federal Reserve could alter market dynamics further, likely boosting risk appetite among foreign investors.

However, despite these headwinds, India's 2025 debt outlook is cautiously positive, with stable yields likely if inflation is managed. Global index inclusion and new instruments may deepen market participation.

Gold, traditionally a hedge against inflation and uncertainty, could see sustained demand, especially if geopolitical tensions rise or inflation remains persistent. In this context, India's 2025 real estate outlook too remains strong, driven by luxury housing, co-working spaces, and sustainable technological solutions, with geopolitical tensions being the primary dampener.

In 2025, therefore, investors will need to consider both the risks and rewards across these asset classes to build resilient and diversified portfolios.

EQUITY

The biggest takeaway, at least towards the latter half of this year, was the exit of foreign institutional investors (FIIs) in large numbers. FIIs maintained their selling spree up to November 22. Following equity sales worth ₹1.13 lakh crore through exchanges in October, they offloaded an additional ₹41,872 crore in equities via exchanges as of November 22, introducing considerable volatility to the Indian market.

Talking about this phenomenon, Himanshu Srivastava, Associate Director-Manager Research at market research firm Morningstar Investment Research India, explains that because China's economic situation has improved from what it experienced towards the beginning of this year, it has managed to lure FIIs towards itself.

"Several factors have contributed to the massive outflow that happened in October. Higher-than-expected inflation numbers, subdued quarterly corporate earnings, and stretched valuations didn't augur

well for the Indian markets. Crucially, the comparatively attractive valuations in the Chinese equity markets have been drawing foreign capital away from India. Moreover, escalating geopolitical tensions, particularly the intensifying conflict between Israel and Iran, have further heightened global investor risk aversion," he explains.

However, despite the exit of FIIs, domestic flows have provided stability. Domestic institutional investors (DIIs) have infused approximately ₹89,311 crore into Indian equities in October, partially counteracting the impact of the foreign outflows.

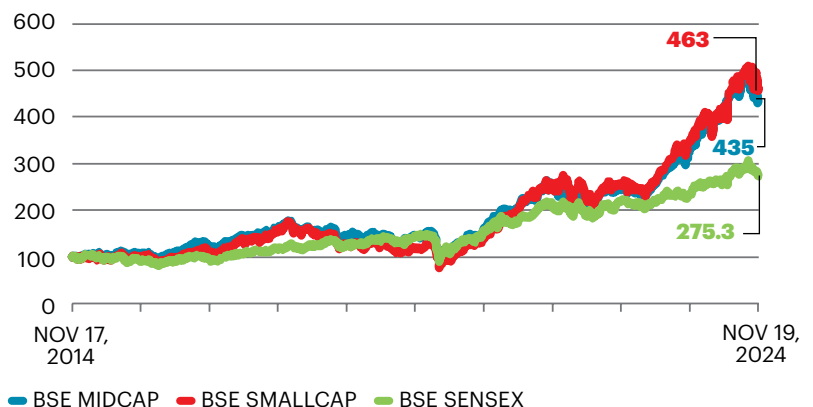
As the new year nears, experts suggest interest rate trends could shape foreign flows in India's equity markets. "A rate cut by the US Federal Reserve could shift market dynamics, potentially enhancing risk appetite among foreign investors," points out Srivastava.

Others say that the Indian market has been overvalued for quite some time now and a correction was anticipated. But instead of that India witnessed a bull run in October.

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Market surge

- India's stock market has seen significant growth across major indices over the past decade
- The mid-cap and small-cap indices outperformed the Sensex in terms of percentage growth



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